

Saudi Central Bank Law

Chapter 1: Definitions and General Provisions

Article 1

In this Law, the following terms and phrases shall have the meanings assigned thereto:

Bank: The Saudi Central Bank.

Law: The Saudi Central Bank Law.

Board: The board of directors of the Bank.

Governor: The governor of the Bank.

Financial Institution: Any natural or legal person subject to the supervision, oversight, and regulation of the Bank.

Article 2

The Bank is a financially and administratively independent legal person which reports to the King. Its headquarters shall be in the city of Riyadh, and it may establish branches or cash centers within the Kingdom and open offices or appoint agents and correspondents abroad.

Article 3

The objectives of the Bank are as follows:

1. Maintaining monetary stability.
2. Supporting the stability of the financial sector and promoting trust therein.
3. Supporting economic growth.

Article 4

The Bank shall carry out its duties in accordance with the provisions of this Law, the regulations and policies issued by the Board, and best international standards and practices. To achieve its objectives, the Bank shall have all the necessary powers and carry out the following duties, powers, and competences:

1. Issuing and regulating currency, including minting, printing, issuing, circulating, withdrawing, canceling, managing, and protecting the national currency, and other related activities, without prejudice to the provisions of the Saudi Arabian Monetary Law.
2. Overseeing and supervising financial institutions in accordance with relevant laws.
3. Issuing regulations and directives related to financial institutions and their operations.
4. Formulating and conducting a monetary policy, and regulating the foreign currency exchange market.
5. Managing and investing foreign currency reserves.
6. Acting as the government's bank and adviser on monetary, banking, and financial affairs.
7. Establishing, developing, and operating infrastructures of national payment, settlement, and clearing systems; issuing rules, directives, and licenses; and overseeing and supervising

- payment, settlement, and clearing systems within its jurisdiction.
8. Establishing, developing, and operating financial technology platforms; issuing relevant rules, instructions and licenses; and overseeing and supervising such platforms.
 9. Issuing directives and developing procedures to protect consumers of financial institutions.
 10. Formulating and managing prudential policies and taking necessary actions and measures for financial institutions, as well as taking necessary measures and procedures to contribute in addressing economic and financial upheavals and crises, whether locally, regionally, or globally.
 11. Taking appropriate procedures and measures to prevent the commission of crimes associated with financial institutions.
 12. Representing and participating in regional and international organizations, authorities, forums, and conferences in which the Bank engages as a member, in accordance with legal procedures.
 13. Cooperating and exchanging expertise with other central banks and counterparts, regional and international organizations, and specialized consulting firms inside the Kingdom and abroad, within its jurisdiction.
 14. Developing and setting professional tests and requirements related to financial institutions and their operations.
 15. Conducting research and studies and publishing statistics related to its jurisdiction.
 16. Establishing subsidiary companies, contributing to the incorporation of companies, and partnering with companies that carry out activities related to the nature of its business, in accordance with legal procedures.
 17. Proposing draft laws related to financial institutions and the financial sector, proposing amendments to existing laws, and submitting the same for completion of legal procedures; drafting and proposing draft laws or amendments to existing laws that may impact monetary conditions or the stability of the financial sector shall be made in coordination with the Bank.
 18. Defining the terms and interpreting the provisions of this Law.

Article 5

The Bank may charge fees for the licenses and approvals it issues, services it provides, and transactions it carries out, as well as fees to cover the cost of supervising financial institutions, in accordance with guidelines approved by the Board.

Article 6

The Bank may not:

1. engage in commerce, participate in commercial businesses, or hold an interest in any commercial, industrial, or agricultural project, unless necessary to achieve its objectives;
2. purchase or own real property, unless necessary for its operations or the diversification of its foreign investments;
3. finance and extend loans to the government; and
4. finance or extend loans to any natural or legal person; for the purpose of managing liquidity or dealing with crises, financial institutions shall be excluded from this provision pursuant to a decision by the Governor, in accordance with guidelines set by the Board.

Article 7

The Bank's assets, revenues, and properties shall have immunity; they may not be searched, blocked, seized, confiscated, or expropriated, and shall not be subject to any bankruptcy procedures.

Chapter 2: Management

Board of Directors

Article 8

1. The Bank shall have a board of directors composed of the following:
 - a) The Governor, Chairman.
 - b) Two Vice Governors, Members.
 - c) Five non-government employees, members.

1 bis - If the Governor is unable to chair a Board meeting, he shall assign one of the Vice Governors to chair the meeting.
2. Nomination of Board members referred to in paragraph 1(c) of this Article shall be made jointly by the Governor and the Minister of Finance; their appointment shall be pursuant to a royal order, and their membership shall be for a renewable term of seven years. If a member's term expires without his membership being renewed or a replacement being appointed, he shall continue to serve as a Board member.
3. The remuneration and benefits of Board members shall be determined pursuant to a royal order upon the recommendation of the Minister of Finance in coordination with the Governor.

Article 9

Any of the Board members referred to in Article 8(1)(c) of this Law shall satisfy the following conditions:

1. Be a Saudi citizen.
2. Be a qualified and an expert in matters related to the Bank's activities.
3. Have no criminal record related to crimes impinging on honor or integrity, unless such record has been expunged.
4. Have never been declared bankrupt or insolvent, nor intentionally defaulted on paying his debts.
5. Not hold any position or job with a public entity or a financial institution, nor serve as an auditor thereof.
6. Not be an owner or agent of an external auditor's office.

Article 10

1. The Board shall supervise the Bank's activities and shall be generally responsible for ensuring the soundness of its management and functioning, and shall, to this end and in accordance with the Bank's objectives, have all the necessary powers. The Board may set the rules, regulations, and policies and issue the directives it deems necessary and